

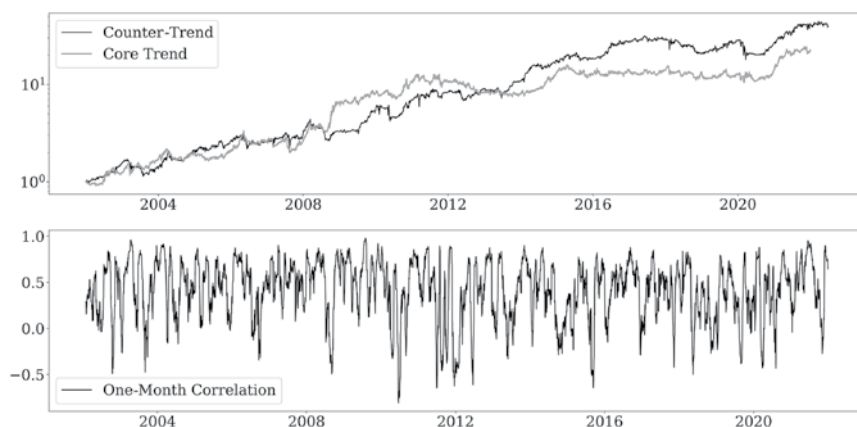


FIGURE 7.3 Counter-trend correlation to trend following.

What you see in Figure 7.3 is that the correlation at times peaks up to extremes around 0.75–0.8, but those are just temporary spikes. Most of the time, the correlation hangs out in the 0.25–0.50 area, which is right where we want it. At times, it even goes all the way deep into negative, which is of course brilliant. Those of you who have been around mathematical finance a while are already thinking about whether it makes sense to combine the models, trading both at the same time. And, yes, it absolutely does. This is the direction you would want to take, to look for ways to diversify not just in terms of markets, but in terms of style.